

Step 1: Income

Gather every source of *income* you have. Examples of types of income include:

- SSI/SSDI payments
- Paychecks
- Student loans
- Alimony/Palimony payments
- Child support payments
- Bonuses
- Commission
- Money earned from a business
- Interest earned on investments
- “Odd jobs” (yard work, pet sitting) or gig economy work (Uber, food delivery)

Source:	Monthly Income:
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
Total: \$ _____	

Step 2: Regular Expenses

Gather all of your *regular expenses*. Examples of regular expenses include:

- Rent or mortgage payments
- Utility bills
- Car payments
- Healthcare premiums
- Student loan payments
- Child support payment

Type:	Amount:
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
Total: \$ _____	

Note: Don't forget to include any debts you might have, such as outstanding medical bills, credit card bills, and other outstanding loans.

Remember to think ahead about increased utility bills in the winter, and non-monthly payments you may have, such as trash, sewer and water, car insurance, or taxes.

Step 3: Monthly Expenses

Write down all of your additional monthly expenses, such as groceries, prescription medicine, pet food and supplies, household goods, clothing and shoes, toiletries, gas or bus fare, etc.

Type:	Amount:
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
	\$
Total: \$ _____	

Step 4: Needs vs. Wants

After you have compiled your list of expenses, separate each item out by **needs** (food, shelter, utilities, clothing, and transportation) and **wants** (entertainment, eating out). What do these things cost you?

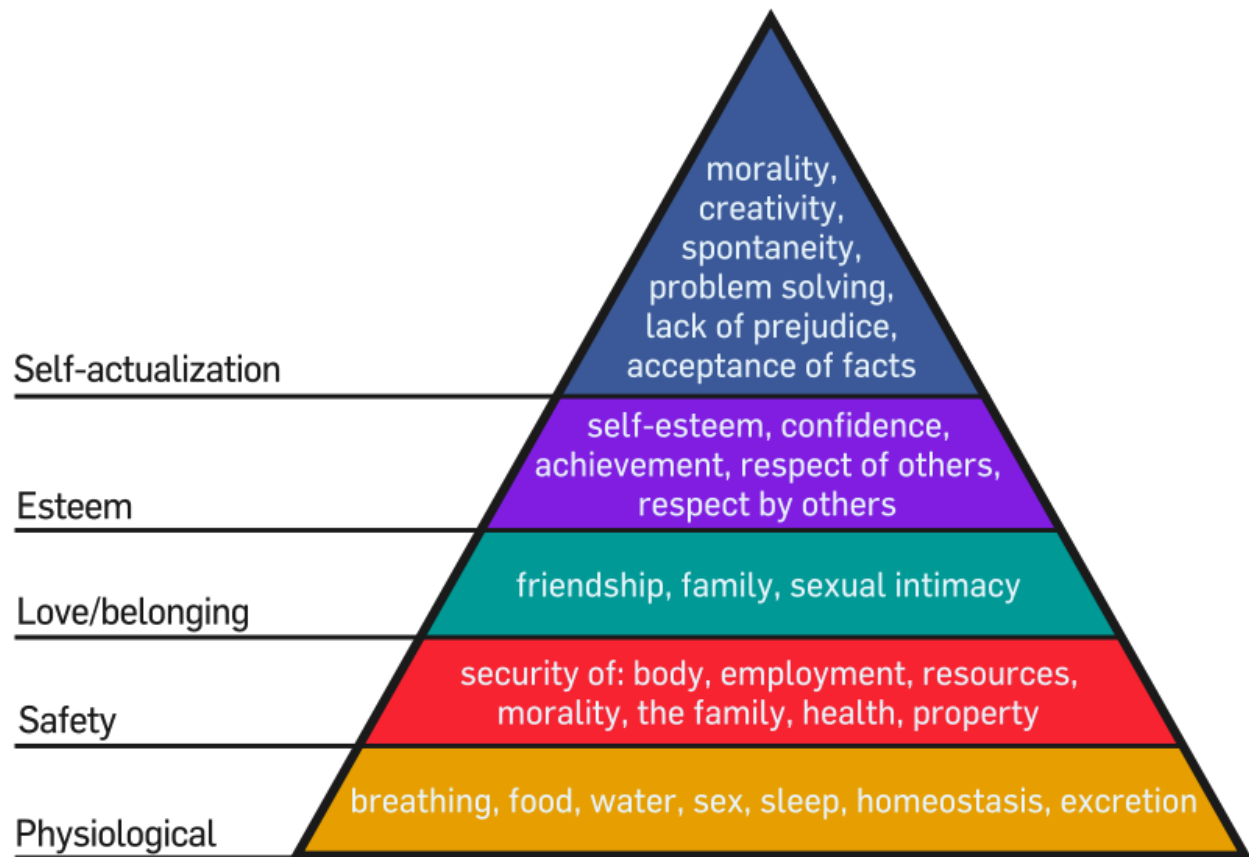
Note: This is an individualized exercise – what you may perceive as a *want* may be a *need* for another person.

Needs	Annual Cost	Wants	Annual Cost
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
	\$		\$
Total	\$	Total	\$

Are there areas or items under either column you could cut down to save money?

Examples of this might include reducing your utility bills by conserving electricity and water, buying used furniture or clothing, or bringing your lunch to work instead of eating out.

Compare your lists of needs with Maslow's Hierarchy of Needs³⁷



³⁷ "Maslow's hierarchy of needs." *Wikipedia*, 2021. https://en.wikipedia.org/wiki/Maslow%27s_hierarchy_of_needs

Exercise: List specific things that would fall under each of Maslow's Needs and estimate their cost (if any).

Maslow's Need	Specific Need	Cost
Physiological		
Safety		
Belonging-Love		
Self-esteem		
Self-actualization		
Total Cost:		

Step 5: Basic Budget Worksheet

Choose a budget worksheet or online/mobile budget system that works for you. This example is a simple monthly budget. There are additional options available online that may be a better match for your needs but begin with this one to familiarize yourself with the budgeting process.

Enter your income and your expenses into the worksheet. When filling out your budget, it is important to be as accurate as you can with your *current situation* (how you spend money now).

Once you have filled it out, see if you have any money left over after all of your bills are paid. If you do not, brainstorm ways to cut expenses and save money each month.

After completing an initial budget and you don't like what you see, you can make a new budget that will help you stay on target with your goals. You may be surprised by how much money you actually spend in certain areas. These are the areas to focus on if you need to bring your expenses down.

CATEGORY	BUDGET AMOUNT	ACTUAL AMOUNT	DIFFERENCE
<u>Spendable Income:</u>			
<u>Expenses:</u>			
Rent or Mortgage			
Electricity			
Natural Gas or Oil			
Water & Sewer			
Garbage & Recycling services			
Phone(s)			
Internet			
Cable/Satellite			

Subscriptions (Netflix, Spotify, Amazon etc.)			
Credit Card Payments			
Other Loan Payments			
Transportation (Bus Pass or Gas for Car)			
Childcare			
Insurance (Auto, Health, Home, Life)			
Out of Pocket Medical Expenses			
Groceries			
Toiletries/Household Goods			
Pet Care/Food			
Dining Out			
Entertainment			
Other Expenses:			
Total ³⁸			

After filling out this basic budget, you are welcome to use more complex budgets online or on your smartphone. There are a number of free budgeting websites and apps, such as *Mint*, *PocketGuard* and *Truebill*.

³⁸ Original material from Peerlink National Technical Assistance Center.